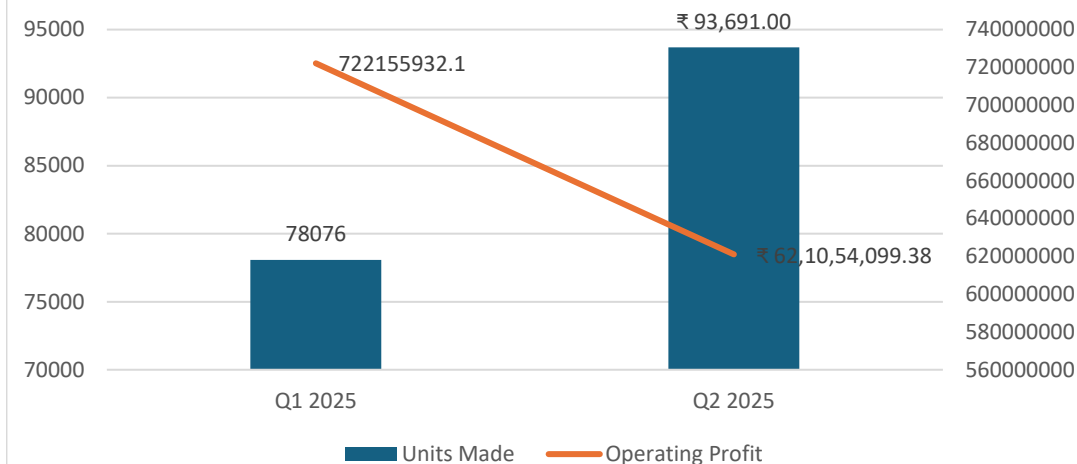
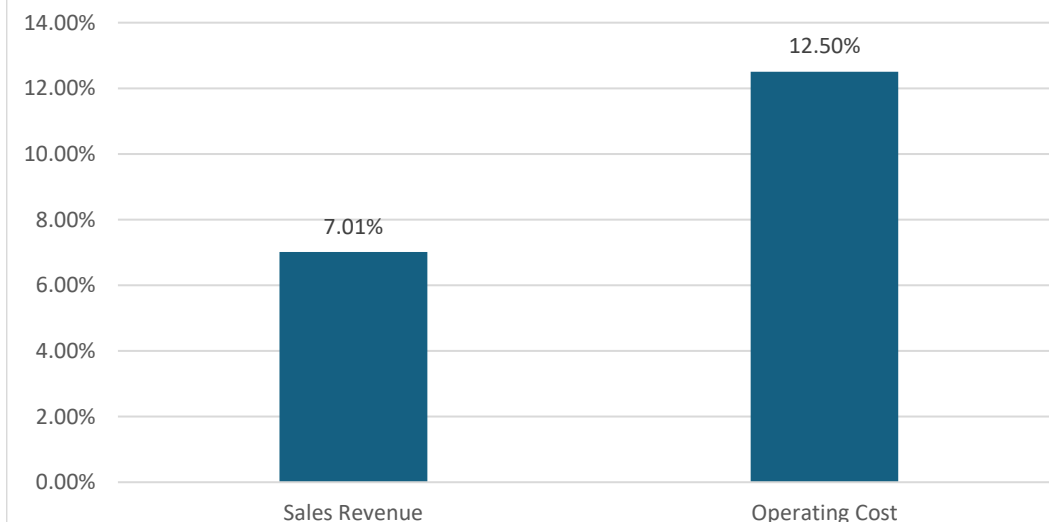


Q2 Production Increased While Operating Profit Declined



Q2 Revenue Growth vs Operating Cost Growth



Q1 – Executive Summary

KEY FINDING

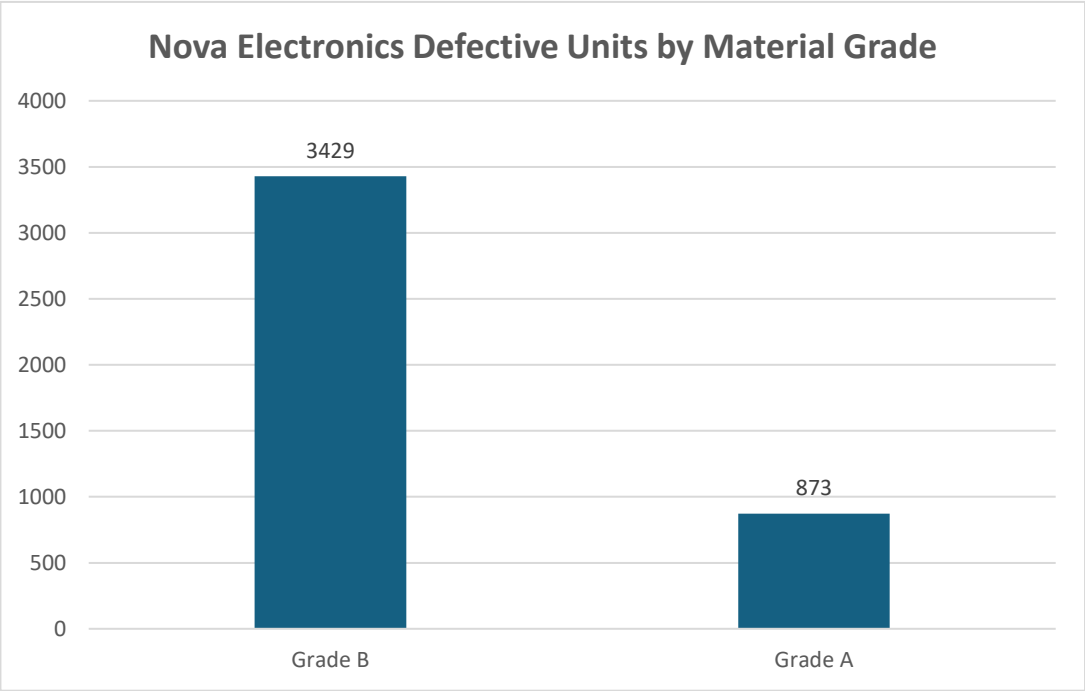
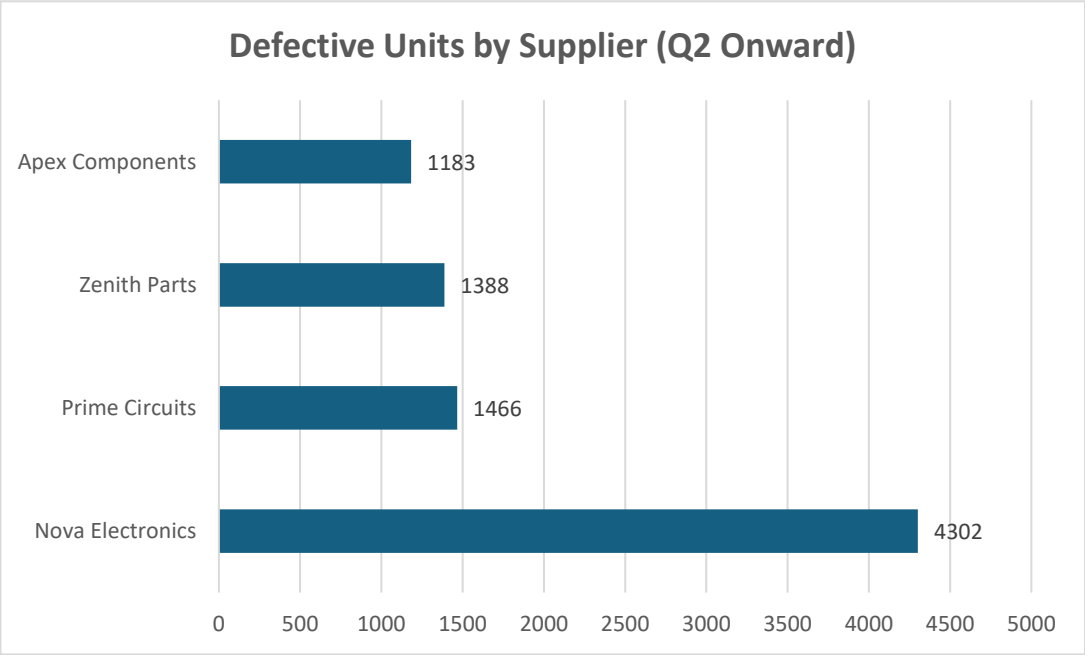
Q2 production increased by 20.0%, but operating profit declined by 14.0%. Sales revenue grew by only 7.01%, while operating costs increased by 12.50%, indicating significant margin pressure.

CONCLUSION

The Q2 profit decline was primarily driven by operating costs growing faster than sales revenue, despite the increase in production. Negative-profit batches, particularly at Noida Factory, were an additional localized issue rather than the main cause of the overall decline.

RECOMMENDATION

Prioritize cost-control initiatives and investigate the major operating-cost drivers behind Q2's 12.50% increase. Separately review Noida Factory's negative-profit batches to address localized inefficiencies.



Q5 – Executive Summary

KEY FINDING

Nova Electronics has the poorest manufacturing quality from Q2 onward, with the highest weighted defect rate at 5.89% and 4,302 defective units. Within Nova Electronics, Grade B performs substantially worse, with an 8.05% defect rate versus 2.86% for Grade A.

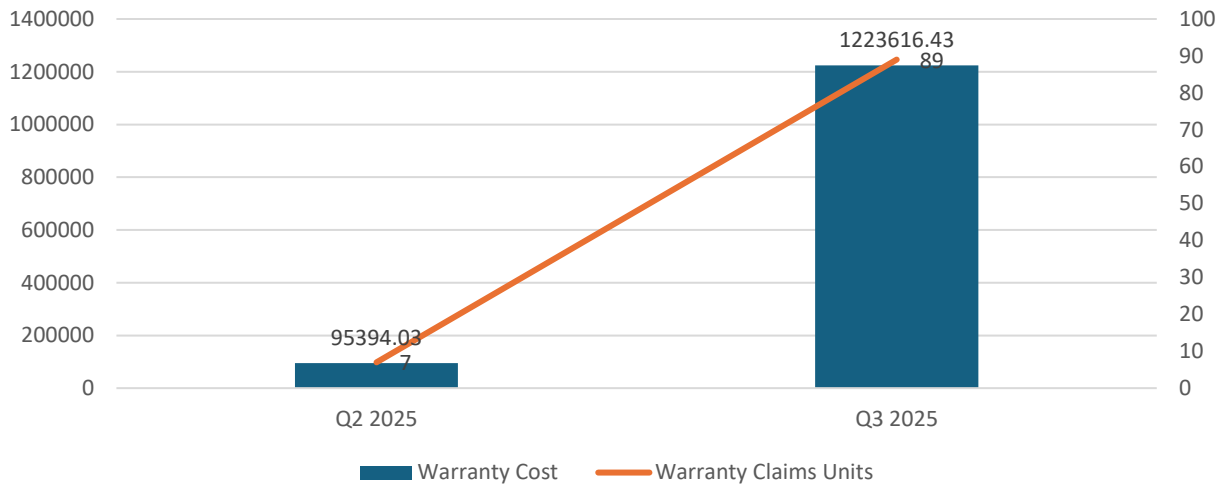
CONCLUSION

The quality problem is concentrated rather than supplier-wide across all materials. Nova Electronics is the weakest supplier overall, with Grade B material representing the major quality concern.

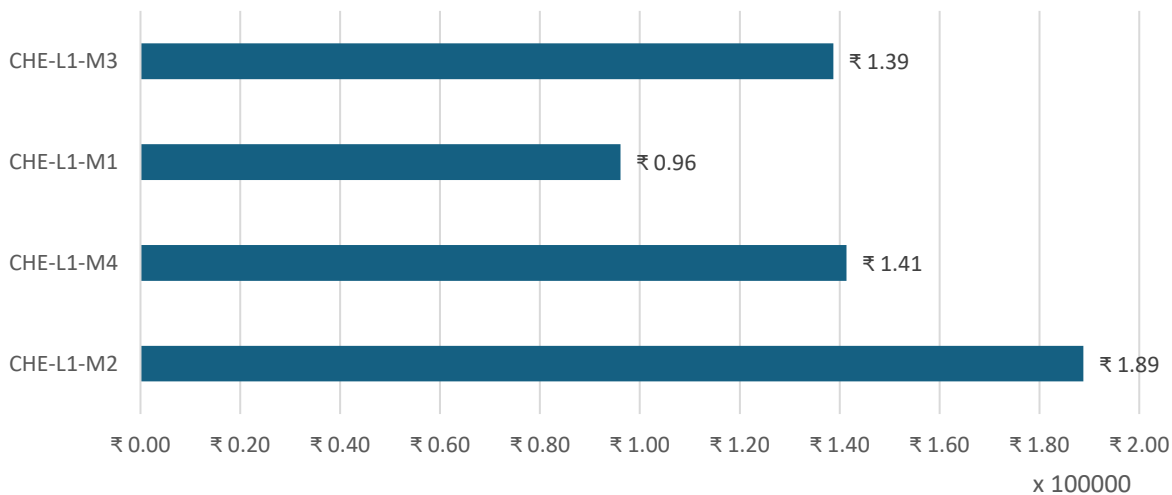
RECOMMENDATION

Prioritize a supplier quality review of Nova Electronics Grade B material, including incoming-material inspection and corrective-action discussions with the supplier. Increase monitoring of Grade B batches and consider alternative sourcing if defect performance does not improve.

Q3 Warranty Cost & Claims Surge



Q3 Warranty Cost by Chennai Line 1 Machine



Q2 – Executive Summary

KEY FINDING

Q3 warranty cost increased from ₹95,394 to ₹12.24 lakh (+1,182.7%), while warranty claims increased from 7 to 89. Battery Performance Failure was the leading failure type, with 21 cases.

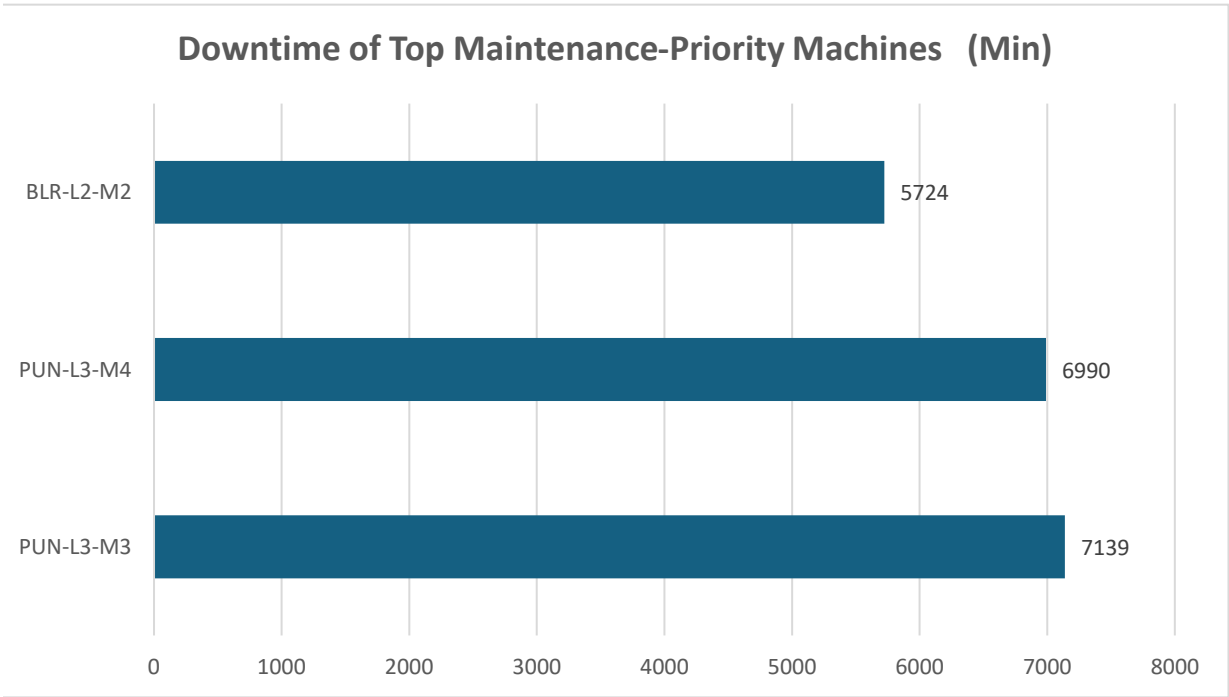
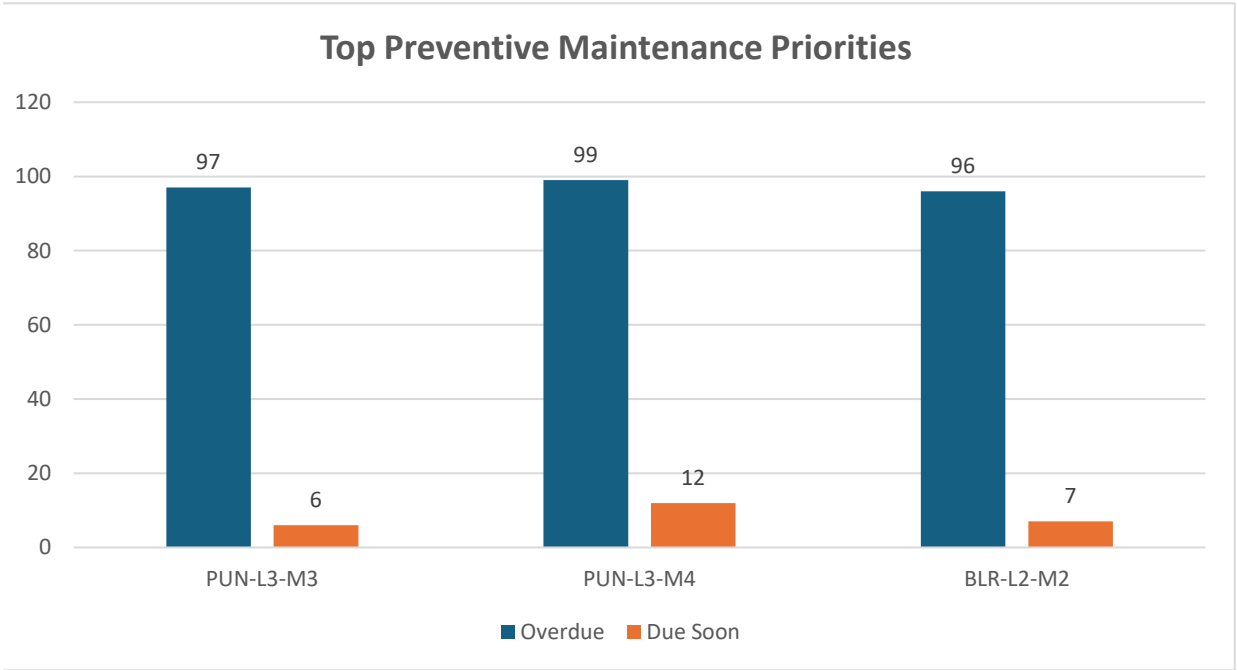
CONCLUSION

The investigation traces the issue to Battery Cells, with Latent Supplier Component Defect identified as the root cause. All 21 identified cases were linked to Prime Circuits, with Grade A material accounting for 17 cases.

RECOMMENDATION

Prioritize a supplier-quality investigation of Prime Circuits Grade A battery-cell components.

Begin corrective action with CHE-L1-M2, which recorded the highest warranty cost among the Chennai Line 1 machines, while checking the remaining Line 1 machines for the same component defect.



Q6 – Executive Summary

KEY FINDING

PUN-L3-M3, PUN-L3-M4, and BLR-L2-M2 stand out as the highest preventive-maintenance priorities. They have 97, 99, and 96 overdue maintenance records, respectively, together with very high accumulated downtime of 7,139, 6,990, and 5,724 minutes.

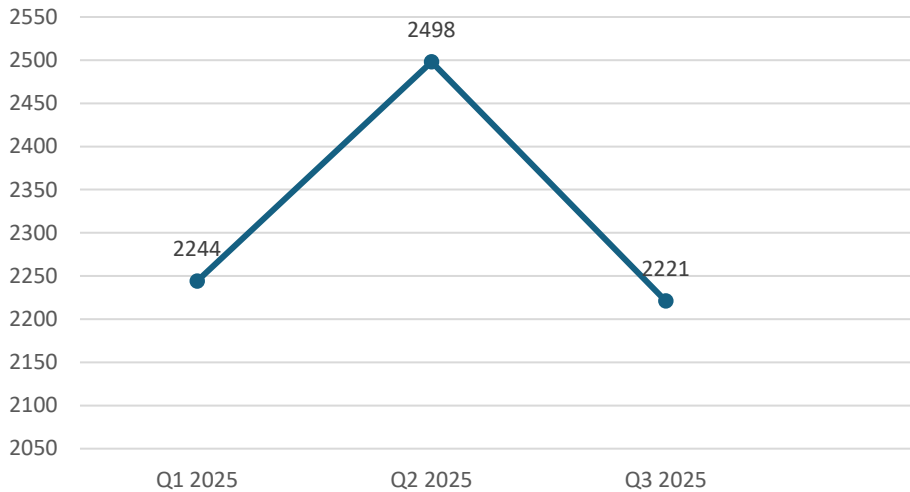
CONCLUSION

Preventive maintenance should be prioritized for machines showing both large overdue-maintenance backlogs and high downtime. PUN-L3-M3 and PUN-L3-M4 require the most immediate attention, followed by BLR-L2-M2.

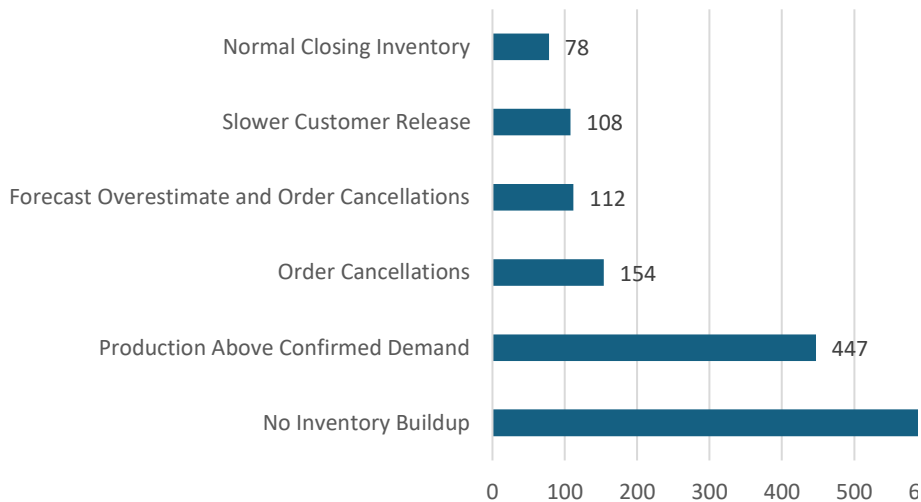
RECOMMENDATION

Schedule immediate preventive maintenance for PUN-L3-M3 and PUN-L3-M4, followed by BLR-L2-M2. Clear their overdue maintenance backlog first and monitor downtime after servicing to confirm that machine reliability improves.

Unsold Inventory Trend by Quarter



Q4 Inventory Buildup Drivers



Q3 – Executive Summary

KEY FINDING

Q4 unsold inventory increased sharply to 4,248 units, up from 2,221 units in Q3 (+91%). The largest identified Q4 inventory driver was production above confirmed demand (447 cases), followed by order cancellations (154) and forecast overestimation/order cancellations (112).

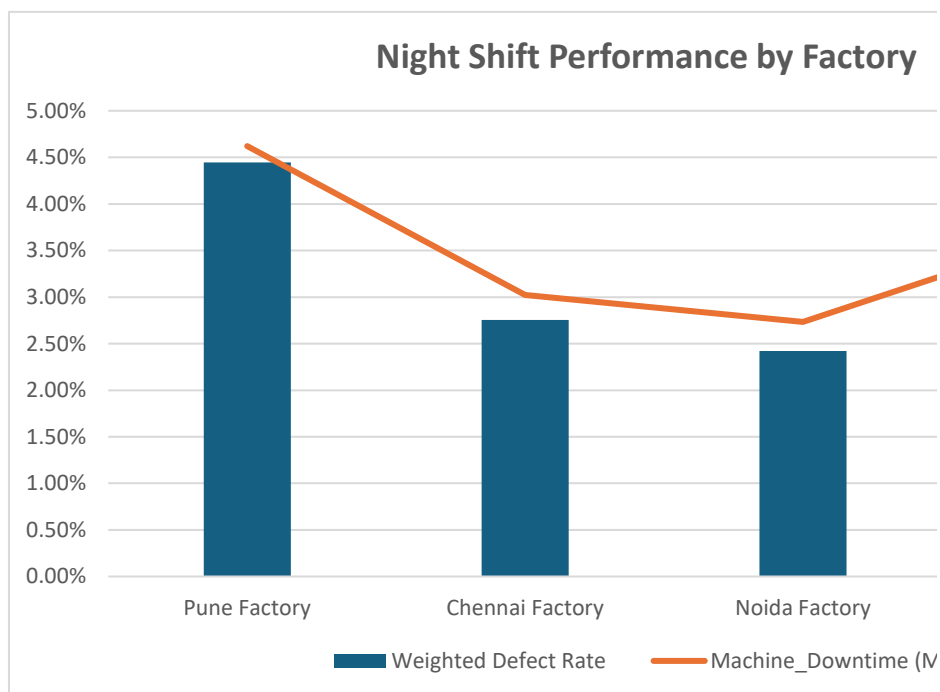
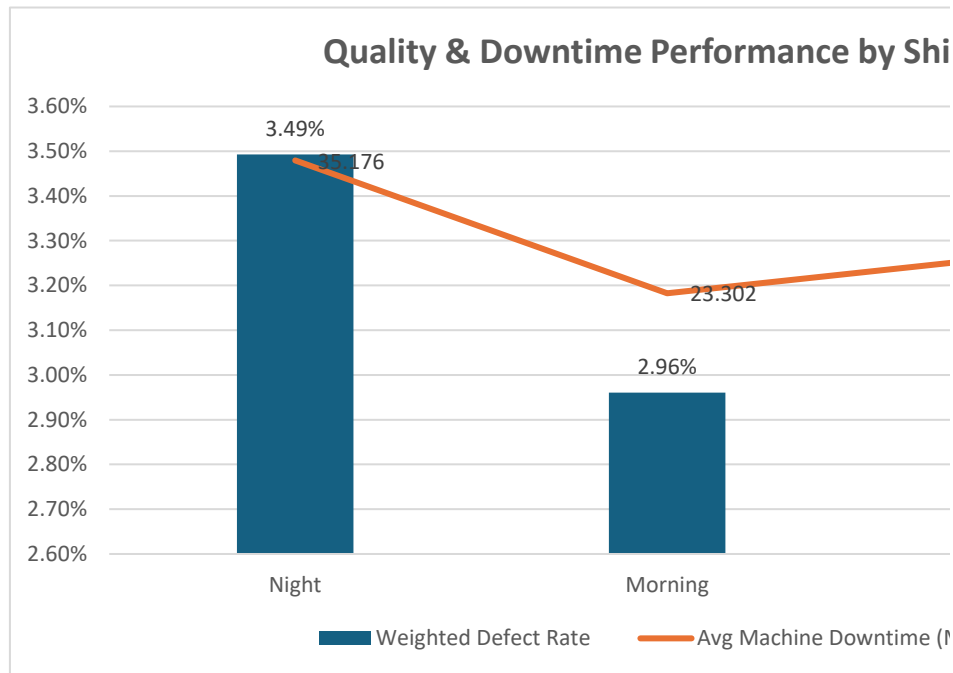
CONCLUSION

The Q4 inventory increase was driven primarily by a production–demand mismatch, with excess production compounded by cancellations and forecasting issues. The supporting analysis points particularly to Noida Factory and Student Laptop production as an important contributor.

RECOMMENDATION

Tighten production planning against confirmed orders and demand

forecasts, with priority review of Noida Factory's Student Laptop production. Introduce earlier controls for overproduction and order cancellations to prevent excess finished inventory from accumulating in future quarters.



Q7 – Executive Summary

KEY FINDING

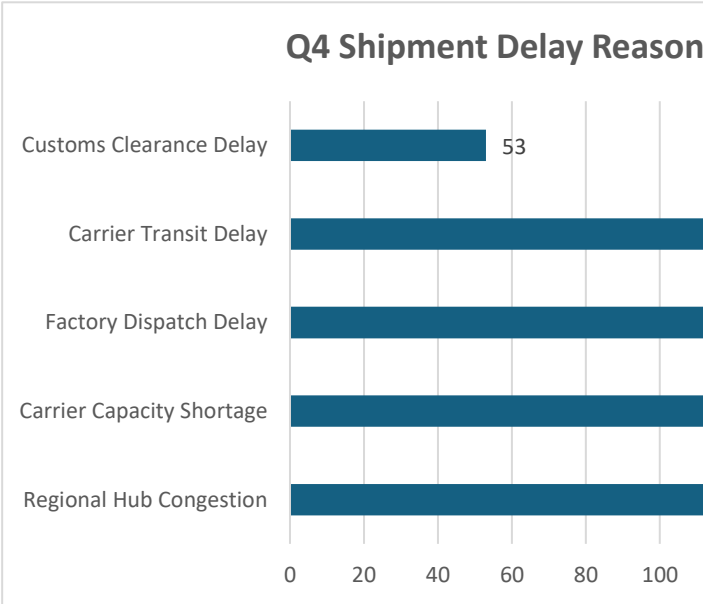
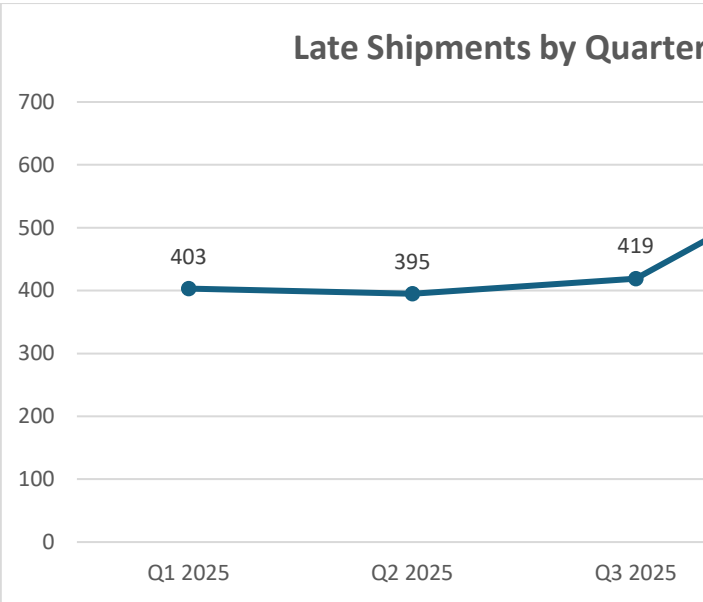
The Night shift has the weakest overall operational performance, with a defect rate (3.49%) and highest average machine downtime (35.18 minutes). Pune Factory combines a high 4.44% defect rate with the highest average

CONCLUSION

The Night-shift problem is not equally severe everywhere. It is particularly severe at Pune Factory, with machine-level analysis highlighting PUN-L3-M3 and PUN-L3-M4 with defect rates of 5.36% and 5.27% and exceptionally high average downtime of 45.45 and 45.45 minutes.

RECOMMENDATION

Prioritize a Night-shift operational review at Pune Factory, focusing first on machines L3-M3 and L3-M4. Investigate maintenance reliability, defect causes, staffing/shift conditions on these machines before applying broad changes across the Night shift.



Q4 – Executive Summary

KEY FINDING

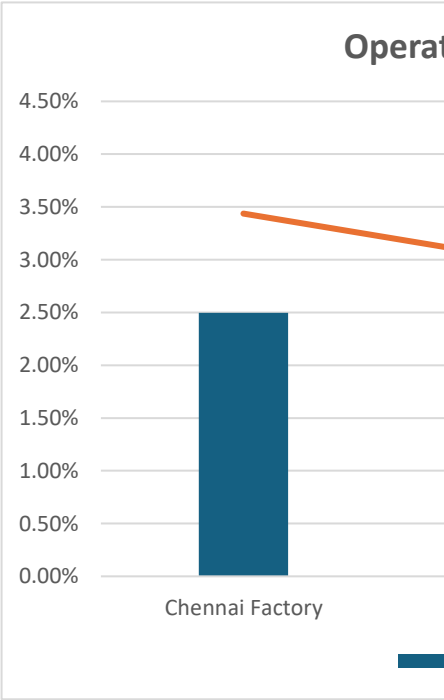
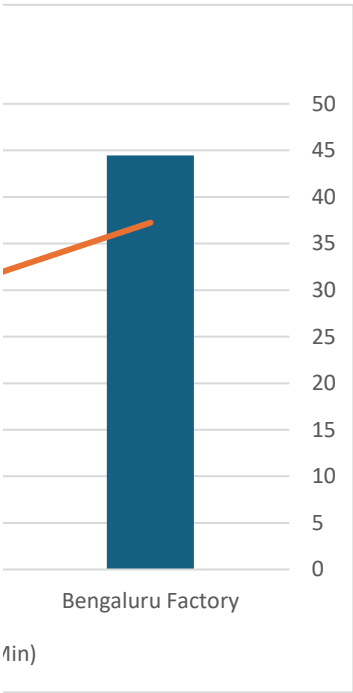
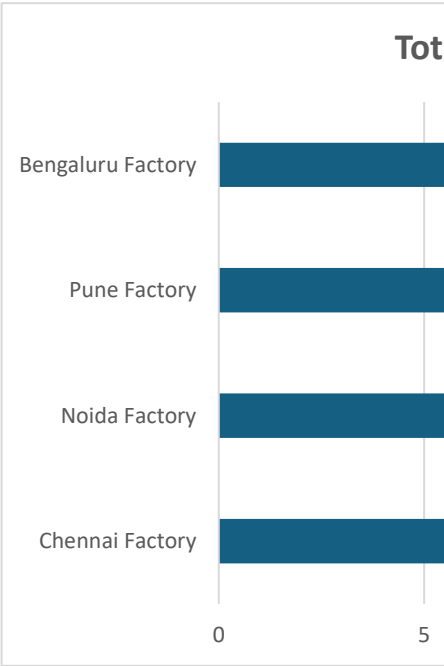
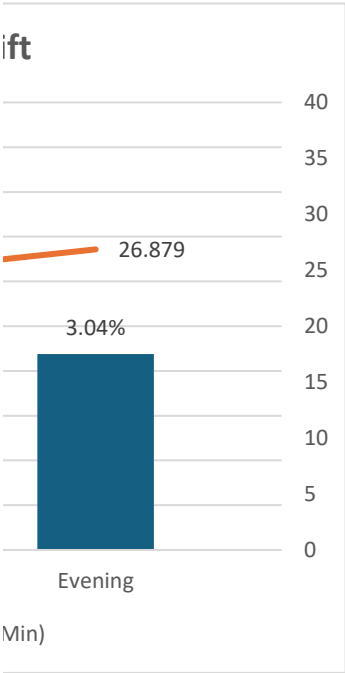
Late shipments increased sharply to 614 in Q4, compared to Q3 (+46.5%). The main shipment-delay categories were Regional Hub Congestion (158), Carrier Capacity Shortage (144), Factory Dispatch Delay (144), and Carrier Transit Delay (123). Q4 also recorded the highest late shipment breakdown count at 1,002.

CONCLUSION

Q4's deterioration in on-time shipment performance was a result of a combination of logistics constraints and production delays, rather than an isolated issue. Regional/carrier delays were significant contributors to the overall delay activity and overtime associated with recovering missed delivery dates. Quality rework indicate additional operational challenges.

RECOMMENDATION

Prioritize carrier and regional-hub capacity planning, coordination, and reduce production disruption through maintenance. Management should also address production targets and quality rework to reduce dependence on third-party suppliers and protect shipment schedules



th the highest weighted in). Within the Night shift, downtime (46.21 min).

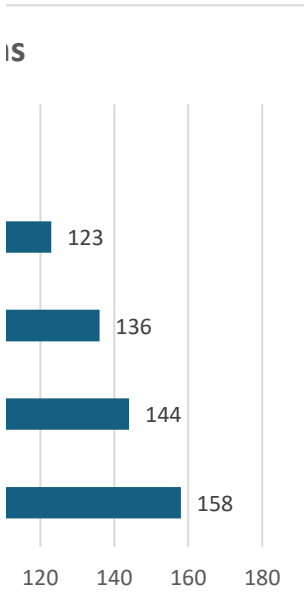
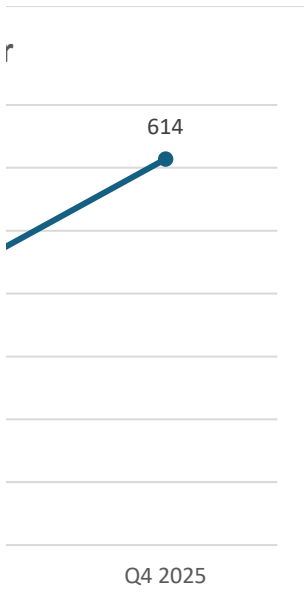
Noida Factory has the st incidents (7), lowest defe

arly concentrated in Pune -L3-M4, which have defect æ of 110.95 and 112.63

Noida Factory is the oper safety incidents, better qu

t on PUN-L3-M3 and PUN-t practices, and operating all Night-shift operations.

Prioritize Noida Factory f checks. Maintain safe



[REDACTED]

[REDACTED]

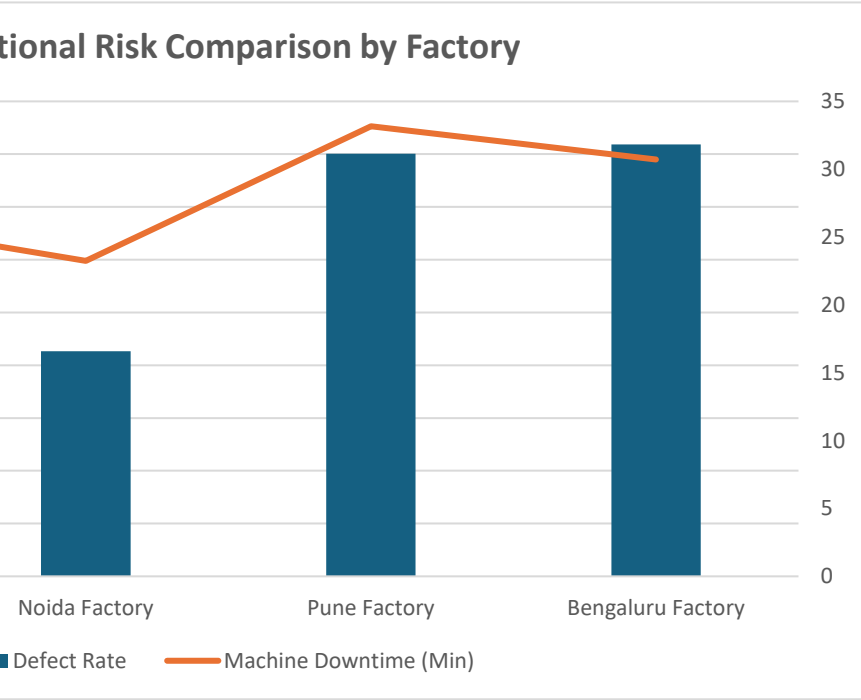
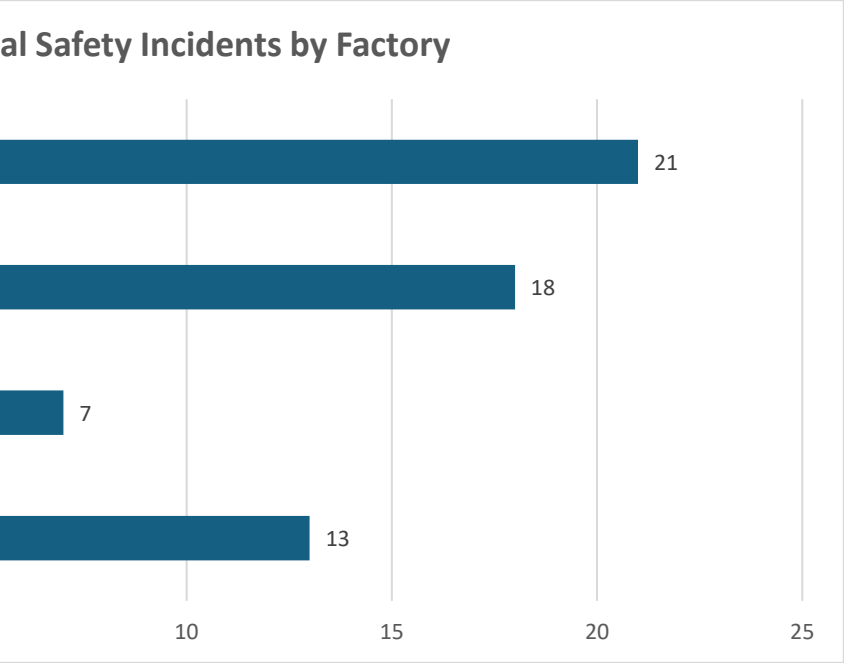
compared with 419 in Q3
Regional Hub Congestion
Dispatch Delay (136), and
the highest unplanned

[REDACTED]

ance was driven by a
disruption, rather than one
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ed production targets and
onal pressure.

[REDACTED]

improve factory dispatch
ugh stronger preventive
the causes of missed
endence on overtime and
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Q8 – Executive Summary

KEY FINDING

longest operational profile for capacity expansion, recording the fewest safety
ct rate (2.13%), and lowest average machine downtime (23.25 min) among the
four factories.

CONCLUSION

ationally safest choice for the next capacity expansion. Its combination of lower
ality performance, and lower machine downtime indicates less operational risk
than Chennai, Pune, or Bengaluru.

RECOMMENDATION

or the next capacity expansion, subject to final financial and capacity feasibility
ety and maintenance controls as utilization increases to prevent operational
performance from deteriorating after expansion.